(1) Nadil (2) Noshaba v (1) Nameer (2) Naseema

JUNE 13, 2025 COURT OF APPEAL - ORDERS

THE DUBAI INTERNATIONAL FINANCIAL CENTRE COURTS

IN THE COURT OF APPEAL

BEFORE H.E. CHIEF JUSTICE WAYNE MARTIN, H.E. JUSTICE ROBERT FRENCH AND H.E.JUSTICE SIR PETER GROSS

BETWEEN

(1) NADIL

(2) NOSHABA

Claimants/Appellants

and

(1) NAMEER

(2) NASEEMA

Defendants/Respondents

ORDER OF THE COURT OF APPEAL

PENAL NOTICE

IF YOU, NAMEER OR NASEEMA DISOBEY THIS ORDER YOU MAY BE HELD TO BE IN CONCEPT OF COURT AND MAY BE REFERRED TO THE ATTORNEY GENERAL OF DUBAI, FINED OR HAVE YOUR ASSETS SEIZED.

ANY OTHER PERSON WHO KNOWS OF THIS ORDER AND DOES ANYTHING WHICH HELPS OR PERMITS THE RESPONDENTS TO BREACH THE TERMS OF THIS ORDER MAY ALSO BE HELD TO BE IN CONTEMPT OF COURT ANO MAY BE REFERRED TO THE ATTORNEY GENERAL OF

DUBAI, FINED OR HAVE THEIR ASSETS SEIZED.

THIS ORDER

1. This is an Order made against Nameer (the "First Respondent") and Naseema (the "Second Respondent" together the "Respondents") by H.E. Chief Justice Wayne Martin, H.E. Justice Robert French and H.E. Justice Sir Peter Gross on the application of Nadil and Noshaba (the "Applicants"). The Judges read the Affidavits listed in Schedule A and accepted the undertakings set out in Schedule B of this Order, including the cross-undertaking in damages given by the parent company of the Applicants, in paragraph 1 of Schedule B.

2. This Order was made at a hearing without notice to the Respondents. The Respondents have the right to apply lo the Court to vary or discharge this Order - see paragraph 18 below.

3. No copy of Confidential Schedule D shall be supplied from the court records to any non party without the permission of the Court. For the avoidance of doubt, the Applicants shall be at liberty to give notice of this Order (including Confidential Schedule D) to third parties insofar as it is reasonably necessary to do so for the purposes of seeking to ensure and or confirm the Respondents' compliance with (or enforcing) this Order and the Second Respondent's undertakings set out in Confidential Schedule D.

4. There will be a further hearing in respect of this Order before the Court of First Instance on 11 June 2025, subject to further order of the Court, in respect of which the Respondents have liberty to apply (the "Return Date").

5. Unless otherwise stated

(1) References in this Order to the Respondents are references to each and all of the Respondents; and

(2) This Order is effective against any Respondent on whom it is served or who is given notice of it.

FREEZING ORDER AGAINST THE FIRST RESPONDENT

6. Until the Return Date or further order of the Court the First Respondent must not remove from the UAE or in any way dispose of deal with or diminish the value of any of the First Respondent's assets which are in the UAE.

7. Paragraph 6 applies to all the First Respondent's assets whether or not they are in his own name and whether they are solely or jointly owned For the purpose of this Order the First Respondent's assets include any asset which he has the power directly or indirectly to dispose of or deal with as if it were his own The First Respondent is to be regarded as having such power if a third party holds or controls the asset in accordance with his direct or indirect instructions.

8. The prohibition in paragraph 6 applies in particular to the assets identified in Schedule C.

9. If the total value free of charges or other securities ("unencumbered value") of the First Respondent's assets in the UAE exceeds the Respondents may remove any of those assets from the UAE or may dispose of or deal with them so long as the total unencumbered value of the First Respondent's assets still in the UAE remains.

INJUNCTION AGAINST THE SECOND RESPONDENT

10. Until the Return Date or further order of the Court and save as provided in Confidential Schedule D, the Second Respondent must not dispose of deal with or diminish the value of:

(1) The assets set out in Confidential Schedule D, save as provided by the terms of that schedule.

PROVISION OF INFORMATION BY THE FIRST RESPONDENT

11. Unless paragraph 12 applies:

(1) The First Respondent must within 4 working days of service of this Order and to the best of his ability inform the Applicants' legal representatives of all his assets in the UAE exceeding USD 65,000 in value whether in his own name or not and whether solely or jointly owned giving the value, location and details of his assets.

(2) The First Respondent shall within 7 working days of service of this Order take such steps as are reasonably necessary to provide the Applicants' legal representatives with

(a) Details of all bank accounts held in the UAE in the First Respondent's name and or operated by the First Respondent on behalf of any third party in the period from and including January 2022 to the date of this Order, such details to include (i) the name of the bank, (ii) the bank sort code, (iii) the bank account number and (iv) the account name (the "Accounts").

(b) Unredacted copies of bank statements for all the Accounts for the period from 1 January 2022 up to and including the date of this Order ("Bank Statements").

12. If the provision of any of the information in paragraphs 11(1) or (2) is likely to incriminate the First Respondent, he may be entitled to refuse to provide it, but is recommended to take legal advice before refusing to provide the information. Wrongful refusal to provide the information is contempt of court and may render the First Respondent liable to be imprisoned, fined or have his assets seized

13. Within 7 working days of service of this Order, the First Respondent must swear and serve on the Applicants' legal representatives an affidavit setting out (i) the information referred to in paragraph 11(1) and 11(2) of this Order and (ii) the steps taken by the First Respondent to comply with paragraph 11(2) of this Order.

PROVISION OF INFORMATION BY THE SECOND RESPONDENT

14.

(1) Unless paragraph 14(2) applies, the Second Respondent must within 4 working days of service of this Order and to the best of her ability inform the Applicants' legal representatives of all of (a) her assets within the UAE exceeding USD 65,000 in value, whether in her own name or not and whether solely or jointly owned, giving the value, location and details of all such assets; and (b) any assets falling within (a) which she has disposed of since the date of this Order;

(2) If the provision of any of the information in paragraph 14(1) is likely to incriminate the Second Respondent, she may be entitled to refuse to provide it, but is recommended to take legal advice before refusing to provide the information Wrongful refusal to provide the information is contempt of court and may render the Second Respondent liable to be imprisoned fined or have her assets seized.

15. Within 7 working days of service of this Order the Second Respondent must swear and serve on the Applicants' legal representatives an affidavit setting out the information referred to in paragraph 14(1) of this Order

EXCEPTIONS TO THIS ORDER

16.

(1) This Order does not prohibit the First Respondent from spending USD 26,000 per month on his ordinary living expenses and also a reasonable sum on legal advice and representation. But before spending any money, the First Respondent must tell the Applicants' legal representatives the amount of money which will be spent and where the money is to come from

(2) The First Respondent may agree with the Applicants' legal representatives that the above spending limits should be increased or that this Order should be varied in any other respect, but any agreement must be in writing.

(3) This Order does not prohibit the First Respondent from dealing with or disposing of any of his assets in the ordinary and proper course of business but before doing so the First Respondent must tell the Applicants' legal representatives and inform them of the nature and value of the proposed transaction.

(4) Save as provided in Schedule D this Order does not prohibit the Second Respondent from dealing with or disposing of any of her assets in the ordinary and proper course of business, but before doing so the Second Respondent must:

(a) Give tile Applicants' solicitors 72 hours notice (not counting for that notice period any weekends or public holidays in the UAE) of any dealing or disposition which she proposes to make in accordance with this paragraph and

(b) At the same time as giving notice in accordance with paragraph 16(4)(a) above, provide a reasonable summary of the proposed dealing or disposition including (a) the identity of asset to which it relates; (b) its commercial purpose; (c) its estimated value; and (d) what (if anything) the Second Respondent is to receive pursuant to it.

(5) This Order will cease to have effect if the First Respondent

(a) Provides security by paying the sum into Court, to be held to the order of the Court or

(b) Makes provision for security in that sum by another method agreed with the Applicants' legal representatives.

COSTS

17. The costs of this application are reserved to the Judge hearing the application on the Return Date.

VARIATION OR DISCHARGE OF THIS ORDER

18. Anyone served with or notified of this Order may apply to the Court of First Instance at any time to vary or discharge this Order (or so much of it as affects that person), but they must first inform the Applicants' legal representatives. If any evidence is to be relied upon in support of the application the substance of it must be communicated in writing to the Applicants legal representatives in advance.

INTERPRETATION OF THIS ORDER

19. A Respondent who is an individual who is ordered not to do something must not do it himself or herself or in any other way. He or she must not do it through others acting on his or her behalf or on his or her instructions or with his or her encouragement.

PARTIES OTHER THAN THE APPLICANTS ANO THE RESPONDENTS

Effect of this Order

20. It is a contempt of court for any person notified of this Order knowingly to assist in or permit a breach of this Order Any person doing so may be referred to the Attorney General of Dubai, fined or have their assets seized

Set off by banks

21. This injunction does not prevent any bank from exercising any right of set off it may have in respect of any facility which it gave to any Respondent before it was notified of this Order.

Withdrawal by the Respondents

22. No bank need enquire as to the application or proposed application of any money withdrawn by any Respondent if the withdrawal appears to be permitted by this Order.

Persons outside the DIFC

23. Except as provided in paragraph 24 below the terms of this Order do not affect or concern anyone outside the jurisdiction of this Court.

24. The terms of this Order will affect the following persons in a country or state outside the jurisdiction of this Court:

(1) Each of the Respondents or his or her agent appointed by power of attorney

(2) Any person who:

(a) is subject to the jurisdiction of this Court

(b) has been given written notice of this Order at his residence or place of business within the jurisdiction of this Court; and

(c) is able to prevent acts or omissions outside the jurisdiction of this Court which constitute or assist in a breach of the terms of this Order; and

(3) Any other person, only to the extent that this Order is declared enforceable by or is enforced by a Court in that country or state.

Assets located outside the DIFC

25. In respect of assets located outside the DIFC, nothing in this Order shall prevent any third party from complying with:

(1) What it reasonably believes to be its obligations contractual or otherwise under the laws and obligations of the jurisdiction in which those assets are situated or under the proper law of any contract between itself and any of the Respondents; and

(2) Any orders of the courts of that jurisdiction, provided that reasonable notice of any application for such an order is given to the Applicants' legal representatives.

SERVICE OF THIS ORDER

26. The Applicants may serve this Order, application notices (including their application for continuation of this Order at the Return Date) and any other documents required to be served in these proceedings

(1) On the First Respondent by

(a) Personal service; and or

(b) Delivery by courier, and or

(c) Electronic means, via email

(2) On the Second Respondent by

(a) Personal service; and or

(b) Delivery by courier and or

(c) Electronic means, via email

27. Notwithstanding the undertakings contained in Schedule B of this Order the Applicants shall be entitled to delay effecting service of this Order and other documentation placed before the Court at the without notice hearing until the earlier of

(1) Two business days after the Dubai Court commences execution of this Order or

(2) 20 May 2025

28. The Applicants are not required to serve Arabic translations of the claim form or any other documents in these proceedings.

ENFORCEMENT OF THIS ORDER

29. This Order is an Enforcement Order and the Applicants are granted liberty to enforce this Order before the Dubai Courts. The Registrar of the DIFC Court is directed to issue the appropriate letter to the Chief Justice of the Dubai Courts requesting enforcement of this Order after the filing of the necessary application and ratification pursuant thereto.

NAME AND ADDRESS OF APPLICANTS' LEGAL REPRESENTATIVES

The Applicants legal representatives are
Stephenson Harwood Middle East LLP
Burj Daman Building
Level 13
Dubai United Arab Emirates
Tel. +97 1 4 407 3900
Email Mark.Lakin@stephensonharwood.com (mailto:Mark.Lakin@stephensonharwood.com)

COMMUNICATIONS WITH THE COURT

All communications to the Court about this Order should be sent electronically to registry@difccourts.ae (mailto:registry@difccourts.ae) quoting case number.

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SCHEDULE A

AFFIDAVITS

The Applicants relied on the following affidavits-

1. The Affidavit of Mark David Lakin sworn on 11 April 2025 together with Exhibit MDLI.

2. The Affidavit sworn on 11 April 2025

SCHEDULE B

UNDERTAKINGS GIVEN TO THE COURT BY THE APPLICANTS

(1) If the Court later finds that this Order has caused loss to the Respondents and decides that the Respondents should be compensated for that loss, the Applicants ultimate parent, will comply with any order the Court may make

(2) Upon the earlier of (a) two business days after the Dubai Court commences execution of this Order; or (b) 20 May 2025, the Applicants will serve upon the Respondents the following documents as soon as reasonably practicable

(a) this Order;

(b) copies of the affidavits and exhibits containing the evidence relied upon by the Applicants, and any other documents provided to the Court on the making of the application;

(c) the claim form; and

(d) an application notice for continuation of the Order (which the Applicants will issue as soon as reasonably practicable)

(3) Anyone notified of this Order will be given a copy of it by the Applicants; legal representatives.

(4) The Applicants will pay the reasonable costs of anyone other than the Respondents which have been incurred as a result of this Order including the costs of finding out whether that person holds any of the First Respondents assets and if the Court later finds that this Order has caused such person loss and decides that such person should be compensated for that loss the Applicants will comply with any order the Court may make.

(5) If this Order ceases to have effect (for example if the Respondents provide security as provided for above), the Applicants will immediately take all reasonable steps to inform in writing anyone to whom it has given notice of this Order, or who it has reasonable grounds for supposing may act upon this Order, that it has ceased to have effect.

(6) The Applicants will not without the permission of the Court use any information obtained as a result of this Order for the purpose of any civil or criminal proceedings either in the DIFC or many other jurisdiction, other than for:

(a) this claim,

(b) commencing or pursuing civil proceedings for the enforcement of this Order or in support of these proceedings in the UAE Courts;

(c) the purpose of the proceedings brought by the Applicants with Claim (the "Foreign Proceedings")

(7) The Applicants will not without the permission of the Court seek to enforce this Order in any country outside the UAE

SCHEDULE C

THE FIRST RESPONDENT'S ASSETS

Real Estate

1. registered in the name of the Second Respondent

Bank Accounts

2. Accounts held by the First Respondent as follows

(I) Account Number (USD account)

(II) Account Number (AED account)

3. Accounts held by the First Respondent with as follows

(I) Account Number (USD account)

(II) Account Number (AED account)

Shares or participatory/other interests in companies or other entities

4. 1,000 shares in a UAE Company

5. 1,000 shares held by the Second Respondent

6. An interest in a company with headquarters in Dubai, UAE.

7. An interest in a Dubai Company

SCHEDULE D

Schedule D Assets

1. Registered in the name of the Second Respondent.

2. 15 properties in Dubai owned indirectly being:

(i) Dubai, United Arab Emirates;

(ii) Dubai, United Arab Emirates;

(iii) Dubai, United Arab Emirates;

(iv) Dubai, United Arab Emirates;

(v) Dubai, United Arab Emirates;

(vi) Dubai, United Arab Emirates;

(vii) Dubai, United Arab Emirates;

(viii) Dubai, United Arab Emirates;

(ix) Dubai, United Arab Emirates;

(x) Dubai, United Arab Emirates;

(xi) Dubai, United Arab Emirates;

(xii) Dubai, United Arab Emirates;

(xiii) Dubai, United Arab Emirates;

(xiv) Dubai, United Arab Emirates;

(xv) Dubai, United Arab Emirates;

Schedule D Asset Terms

3. Any such dealings or disposals of the Schedule D Assets will be made at reasonable market value and not for an undervalue or no consideration.

4. The proceeds or any dealings with or disposals of the Schedule D Assets will only be used by the Second Respondent to pay.

I. ordinary living expenses are reasonable legal costs; and or

II. further loans to the First respondent, on terms that he may use the loan monies solely to pay his legal costs and the legal costs of the second to fifth defendants in the Proceedings; and or

III. the necessary and reasonable costs of operating and/or maintaining the assets identified in paragraph 10 of this Order and Schedule D Assets

5. Any payments made by or pursuant to loans to the First Respondent in respect of his legal fees or those of the second to fifth defendants in the Foreign Proceedings will be made directly to the Second Respondent's solicitors' client account to be held there for that purpose and not paid via the First Respondent or any of the other defendants in the Foreign Proceedings.

6. Save for the Schedule D Assets, the Second Respondent will not cause, procure or permit to deal with or dispose of any of the assets it owns, including its interest in, other than in the ordinary and proper course of business.

7. Prior to any dealings with or disposals of any of the Schedule D Assets or any dealings or disposals by within paragraph 6 of this Schedule D, the Second Respondent will:

I. Give the Applicants' solicitors 72 hours' notice (not counting for that notice period any weekends or public holidays in the UAE) of any such dealing or disposition; and

II. At the same time as giving notice in accordance with paragraph 7(i) of this Schedule D, provide a reasonable summary of the proposed dealing or disposition, including; (a) the identity of asset to which it relates; (b) its commercial purpose; (c) its estimated value; and (d) what (if anything) the Second Respondent (or, as appropriate) is to receive pursuant to it.

JUDGMENT

Introduction

1. This appeal came before the Court for hearing on 25 April 2025 pursuant to a Permission to Appeal granted by the Deputy Chief Justice, His Excellency Ali Al Madhani, on 21 April 2025.

2. The appeal was brought against His Excellency's decision refusing the grant of a UAE-wide freezing order against assets of the Respondents in the UAE. The order was refused on the ground that the Court lacked jurisdiction to entertain an application for such an order and thereby power to make such an order having regard to the provisions of the DIFC Court Law No (2) of 2025 ("New Court Law"), which came into effect on 15 March 2025.

3. Following an ex parte hearing, this Court granted the freezing order on the basis that there was at least a reasonably arguable case for the existence of the jurisdiction. That reasonably arguable case coupled with the reasonably arguable case found by His Excellency to exist on the merits of the application, would have warranted the grant of the order sought.

4. Having regard to the fact that the appeal hearing was ex parte, this Court did not make any final decision on the question of jurisdiction beyond holding that there was a reasonably arguable case for its existence which supported the grant of the interim freezing order. It remains open to the Respondents, following service of the Order, to dispute jurisdiction and request an oral hearing in the Court of Appeal to determine the outstanding ground of appeal relating to the existence of the jurisdiction.

Procedural History

5. On 11 April 2025, the Appellants issued a claim in the DIFC Court of First Instance ("CFI") against the Respondents seeking a UAE-wide Freezing Order and ancillary disclosure orders. The Freezing Order was sought in support of proceedings brought by the Appellants and pending in the ("Foreign Proceedings") against the First Respondent and seven other defendants. The seven other defendants were not defendants to the proceedings in this Court. The First and Second Respondents are related.The Second Respondent is not a defendant in the Foreign Proceedings. Both Respondents reside in onshore Dubai.

6. The English Proceedings involved claims against the First Respondent of deceit, conspiracy, inducing breach of contract and unjust enrichment. The Appellants, in the claim filed in this Court, sought to freeze a maximum sum.

7. The claim for the freezing order in the CFI was sought on the following grounds:

(a) The Appellants have a good arguable case on the merits of the Foreign claims and for the enforcement of any judgment in those proceedings.

(b) There is reason to believe that assets held by the Second Respondent belong to the First Respondent or will otherwise be amenable to enforcement of any judgment in the Foreign Proceedings.

(c) There is a real risk that unless the Respondents are restrained by injunction, the future judgment in the Foreign Proceedings will be unsatisfied and/or assets will be dealt with in such a way as to make enforcement of any judgment more difficult.

(d) It would be just and convenient to make the order sought.

8. The Claim Form set out the following as the law giving rise to the jurisdiction of the DIFC Courts to entertain the claim for a freezing order and the associated power of the Courts to make such an order:

"Law giving rise to the jurisdiction of the DIFC Courts

Jurisdiction under Article 14(A)(7) of the DIFC Court Law 2025, combined with Rule 20.7 and/or 25.24 of the DIFC Court Rules and/or Articles 19, 24 and 31 of the DIFC Court Law 2025

DIFC Courts' power to grant interim and Proportionary Interim and Proportionary Measures pursuant to Article 15 of the DIFC Court Law 2025

DIFC Courts' powers to enforce foreign judgments under Article 31(4) of the DIFC Court Law 2025"

9. The remedy sought was in the following terms:

"A freezing and disclosure order in support of Foreign proceedings."

10. Also on 11 April 2025, the Appellants filed an application under Part 25 of the DIFC Rules dealing with Interim Remedies and Security for Costs. It was an application for a freezing order under RDC Part 25.1(6) and a disclosure order under RDC Part 25.1(7). It was supported by affidavit evidence.

11. Both the Claim and the Application were made without notice to the Respondents. RDC Part 25.8 provides that:

"The Court may grant an interim remedy on an application made without notice if it appears to the Court that there are good reasons for not giving notice."

12. RDC Part 25.10 provides that:

"If the applicant makes an application without giving notice the evidence in support of the application must state the reasons why notice has not been given."

13. In respect of applications for interim relief dealt with at a court hearing after the issue of a Claim Form, RDC Part 25.13(3) provides that:

"Except in cases where secrecy is essential, the applicant should take steps to notify the respondent informally of the application."

14. A draft order was filed with the application. It recited, inter alia, that:

"2. This Order was made at a hearing without notice to the Respondents. The Respondents have the right to apply to the Court to vary or discharge this Order…"

15. The Draft Order applied to all the First Respondent's assets in the UAE. It also applied to the Second Respondent in respect of certain specified assets. It sought the provision of information by both Respondents.

Evidence in support of the Application

16. Two affidavits were filed in support of the Application. The first was by Mark David Lakin,[1] a Partner in the law firm in London who had conduct of the matter on behalf of the Appellants in conjunction with another partner. It is sufficient to refer to that section of the affidavit which summarised its contents. Mr Lakin deposed that the Appellants are claimants in ongoing proceedings against the First Respondent and other defendants. No claim is advanced against the Second Respondent in the Foreign Proceedings. Both reside onshore in the Emirate of Dubai. The Foreign Proceedings were issued on 8 February 2023. Pleadings for those proceedings were included in the Hearing Bundle for the Application in the CFI.

17. The Foreign Defendants comprised corporate defendants and the First Respondent.

18. The Appellants have brought a number of claims against the Foreign Defendants, including an equitable proprietary claim for moneys which they say they paid or credited to certain of the corporate defendants,referred to as the "Proprietary Funds".

19. At the time of issuing the Foreign Proceedings, the Appellants applied for and obtained a worldwide freezing order from the Foreign Court against the Defendants, (including the First Respondent). That order was granted and was continued at the on-notice return date hearing. It included a proprietary injunction in respect of certain of what were called the Proprietary Funds. The first five defendants, including the First Respondent, made an unsuccessful application to discharge the Order. They did not deny in their skeleton argument that there was a good arguable case but asserted that the Appellants had breached their duty of full and frank disclosure in failing to bring to the Foreign Court's attention evidence. The evidence and arguments were rejected.

20. On 21 April 2023, the Appellants applied for a worldwide freezing order against the Second Respondent in the Foreign Proceedings on the basis that they had reason to believe that she was holding assets on behalf of the First Respondent which could be available for enforcement if the Appellants were successful at trial. She is a non-cause of action defendant and the application was made based on what is called the Court's Chabra jurisdiction in respect of certain of her assets. An ex parte order was granted initially on 25 April 2023 and continued on 19 May 2023 and thereafter on 6 June 2023.

21. Disclosure orders were made in October 2023.

22. The assets disclosure process was said to have shown that the Respondents have a significant asset base in Dubai but those assets are likely held in the Second Respondent's name.

23. On the basis of the matters outlined above, the Appellants sought a UAE-wide freezing order against the Respondents in the CFI along with ancillary disclosure which they intended to enforce before the onshore Dubai Courts. The relief was said to be in support of foreign proceedings, namely the Foreign Proceedings, an avenue which has recently become available in light of the decision of this Court in *Carmon Reestrutura v Cuenda* [2024] DIFC CA 003 a decision handed down on 26 November 2024. Also relied on was the New Court Law.

24. While the Appellants acknowledge that they had some protection from the Foreign Worldwide Freezing Order and the Chabra Order, that protection was said to be limited given that the Respondents do not live in the Foreign Jurisdiction. The consequences of them being found to have breached the Foreign Order and Chabra Order were less far reaching than if they were based. Third parties within bound by the orders would have no obligation of disclosure to the Appellants. Third parties were also only bound by the orders in so far as they were on notice of them.

25. Third parties outside, i.e. banks and authorities in Dubai, were obviously not bound by the Foreign Order and so the Appellants could not rely on such parties to assist them with policing the Foreign Order. The Appellants said that when they notified in Dubai of the Foreign Order, the response was that they were not bound by it.

26. The Appellants understood that the onshore Dubai Courts have broader powers to issue directions to key authorities and banks and that these entities were required to comply with and police the relevant orders including by imposing attachments over assets registered in the jurisdiction (such as bank accounts, vehicles, real estate and shares) and disclosing details of those assets.

27. For the purposes of the Application, the Appellants relied on disclosures provided by the Foreign Defendants and the Second Respondent in the Foreign Proceedings, to explain to the CFI why the relief sought was necessary. Those disclosures had been protected by collateral use restrictions which would have prevented the Appellants from freely using the information in the DIFC and in Dubai. On 28 March 2025, however, the Appellants applied to the Foreign Court ex parte for permission to use certain documents filed in those proceedings for the purpose of making the application to the CFI as well as any subsequent enforcement application before the Dubai Courts. Documents filed in support of that application were set out in the Hearing Bundle.

28. The collateral use application was granted on 4 April 2025.

29. On the question of jurisdiction, the affidavit referred to the Carmon decision which, it was said, confirmed that the CFI has jurisdiction to grant interim relief in support of foreign proceedings (pre-judgment) where the final foreign judgment in those proceedings would be enforceable in the DIFC Courts. Any final and binding judgment in the Foreign Proceedings would be enforceable in the CFI and it would be expected to meet the common law requirements for enforcement that the CFI would apply. The First Respondent had not disputed the jurisdiction of the Foreign Court and had filed a defence.[2]

30. Mr Lakin's affidavit acknowledged that some of the provisions of the law upon which the Carmon decision was founded, had been repealed by the New Court Law. He did not expect that to change the legal position. Article 31(4) of the New Court Law was said to uphold the CFI's power to enforce foreign judgments and Article 15(4) was said to provide a new statutory foundation for orders in support of foreign proceedings.[3]

31. The affidavit set out, inter alia, key factors that the Appellants would rely upon in support of their application for a freezing order and, in particular, the proposition that the Appellants had a good arguable case on the merits in the Foreign Proceedings. Facts giving rise to the claim in fraud were summarised at the outset of Mr Lakin's statement and were set out in detail in an affidavit which was also before the CFI. That affidavit also set out matters relied upon by the Appellants in relation to the risk of dissipation.

32. As required by the Rules, Mr Lakin set out the reasons that the application was made on an ex parte basis. It was essentially the risk of dissipation if prior notice of the application were given.[4]

33. In the affidavit the Appellants acknowledged, in accordance with their duty of full disclosure on an ex parte application, that there were some uncertainties arising from the drafting of the New Court Law, which might be said to call into question their entitlement to the interim relief sought. They referred to Article 15(4) and Article 31(4), set out later in these reasons. They acknowledged that it could be argued that these provisions limited the jurisdiction of DIFC Courts to enforcement over assets which are "within" the DIFC and to injunctive relief requiring action or inaction "within" the DIFC. The Respondents were not known to have any assets in the DIFC - their asset bases being in onshore Dubai. More generally it might be said that in light of the New Court Law, it was no longer possible or appropriate to seek freezing orders in support of foreign proceedings in respect of onshore assets.

34. The affidavit went on to state that the possible interpretation appeared unlikely. There was at least a real prospect of establishing that the Court continued to have the jurisdiction and power to make orders the subject of the application. It pointed out that:

(1) The Court has repeatedly confirmed its position that under the previous Judicial Authority Law and the DIFC Court Law there was no requirement for there to be assets within the DIFC to justify an action for enforcement of a foreign judgment in this Court. Similarly, there had been no requirement for such assets to justify the grant of interim relief.

(2) Article 7(6) of the Judicial Authority Law No 12 of 2004, was also expressed in terms of enforcement "within the DIFC". Despite this, it was found to be a source of jurisdiction for the enforcement of foreign judgments generally in the DIFC Courts regardless of the presence of assets.

35. The other evidence in support of the Application was an affidavit who until 23 January 2023. He described the Appellants as subsidiaries of the Group. The first of the Appellants, Nadil, was the main trading entity within the Group. He referred to the history of the proceedings in the Foreign Courts. His

affidavit exhibited a bundle of documents which he said he referred to "in this affidavit". Having regard to the primary judge's acceptance of the substantive merits of the application, apart from the jurisdictional question, it is not necessary to refer to that affidavit and its annexures in any detail.

Statutory framework

36. The following statutory provisions are relevant to the question of the jurisdiction of the CFI to issue freezing orders.

Judicial Authority Law No 12 of 2004

37. Relevant definitions include:

> "**DIFC Laws** Any laws issued by the Ruler in relation to DIFC.
>
> **DIFC Regulations:** Any rules, regulations, bylaws or orders relating to DIFC issued by the President or by DIFC Bodies.
>
> **Rules of the Courts:** The rules regulating litigation procedures before the Courts."

38. Article 5 of the Judicial Authority Law ("JAL") deals with jurisdiction and provides, inter alia:

> **"A. The Court of First Instance:**
>
> (1) The Court of First Instance shall have exclusive jurisdiction to hear and determine
>
> ….
>
> (e) Any claim or action over which the Courts have jurisdiction in accordance with DIFC Laws and DIFC Regulations."

39. Article 7(6) provides:

> "The judgments, decisions, orders and ratified Arbitral Awards rendered outside DIFC by any court other than Dubai Courts shall be executed within DIFC in accordance with the procedure prescribed in the Rules of Court."

DIFC Courts Law No (2) of 2025

40. This law, which took effect from March 2025 contained a number of definitions, set out in Article 2, including DIFC Laws, DIFC Regulations and "Rules of the Court" in the same terms as the definitions set out in the JAL. It also contained a definition of '"Foreign Judgements" as "[a]ny judgment or decision of a foreign court."

41. Under Article 3, the provisions of the Law apply to the DIFC Courts established under Law No (12) of 2004. Article 14 deals with jurisdiction of the DIFC Courts as follows:

> **"Article (14)**
>
> A. The DIFC Courts have exclusive jurisdiction to hear and determine:
>
> ….

7. Claims and applications over which the DIFC Courts have jurisdiction under the DIFC Laws, DIFC Regulations, and the legislation in force in the Emirate, as well as any international treaty and convention to which the State has acceded or is a party to."

42. Article 15 deals with interim and precautionary measures:

"Article (15)

The DIFC Courts have jurisdiction to hear and determine applications for interim or precautionary measures related to the following:

1. Claims and applications that fall within the jurisdiction of the DIFC Courts.

2. A claim for the disclosure of the true identity of a defendant or a potential defendant, against whom a claim may be brought before the DIFC Courts.

3. A claim for the disclosure of funds or assets owned by the defendant or applicant in applications and claims that fall within the jurisdiction of the DIFC Courts.

4. Applications, claims, or current or future arbitral proceedings brought outside the DIFC seeking suitable precautionary measures within the DIFC."

43. Powers of the DIFC Courts are set out in Article 24, which includes the power in Article 24 J:

"The DIFC Courts may, for the interest of justice, issue an order prohibiting or restricting the publication of evidence or any part of the proceedings pending before it."

Article 25 provides:

"Article (25)

The procedures of litigation, evidence, interim and precautionary measures and enforcement of judgements shall be determined in accordance with the DIFC Laws, the DIFC Regulations, and the Rues of the Courts."

44. Article 29 provides for the enforcement to be carried out under the supervision of an "Enforcement Judge" appointed from among the DIFC Courts' Judges based on an order issued by the Chief Justice. Article 30 provides for enforcement writs, which are defined to include:

"Article (30)

B. "Enforcement Writ" shall include the following:

1. Judgements, Decisions or Orders issued by the DIFC Courts;"

45. Article 31 then sets out the jurisdiction of the Enforcement Judge inside and outside of the DIFC. Relevantly, Article 31 provides:

"Article (31)

Subject to Article (29) of this Law, the Enforcement Judge shall have jurisdiction over:

1. The enforcement of final judgements, orders, and decisions issued by the DIFC Courts when the subject matter of enforcement is within the DIFC.

2. The enforcement of judgements and judicial decisions issued by foreign or local courts, including the Dubai Courts, in the event that the enforcement shall fall onto any of the DIFC Bodies, DIFC Establishments, Licensed DIFC Establishments, or any other entity within the DIFC.

3. The enforcement of Arbitral Awards ratified by the DIFC Courts, in the event the enforcement shall fall onto any of the DIFC Bodies, DIFC Establishments, Licensed DIFC Establishments, or any other entity within the DIFC.

4. The enforcement of judgements and judicial decisions affixed with the executory formula issued by local or foreign courts, including the Dubai Courts, as well as interim and precautionary orders and decisions issued by local or foreign courts, including the Dubai Courts and arbitral tribunals, inside the DIFC, and in accordance with the Rules of the Courts."

The reasons for dismissal of the Application

46. The ex parte urgent application for a UAE-wide freezing order came before H.E. Deputy Chief Justice Ali Al Madhani on 16 April 2025. On 17 April 2025, the following Order issued:

(1) The Application is rejected.

(2) There shall be no order as to costs."

47. In the Schedule of Reasons, His Excellency set out the procedural background to the Application, outlined above. He observed that the merits of the application had been explored extensively. He accepted that the Appellants had made out a good arguable case including sufficient urgency to warrant the granting of an order, because of the high risk of dissipation of the relevant assets. It was on the question of jurisdiction that the application foundered.

48. His Excellency observed that the introduction of Law No 2 of 2025 Concerning the Dubai International Financial Centre Courts, which he called the "New Law" raised the very important question about the jurisdiction of the Court to grant such relief over assets outside its immediate jurisdictional boundaries. The application of relevant Articles of the New Law on jurisdiction were central to the application.

49. His Excellency observed that the way in which the application was pleaded made it unclear whether it was a "fresh claim" for interim relief or an enforcement of existing orders from Foreign Courts. The distinction was said to be important as different DIFC Laws would be engaged depending on the intention behind the application. Counsel for the Appellants had elected to use both possible gateways in the submissions made during the hearing. His Excellency addressed both gateways in turn.

50. He first considered the question of jurisdiction on the basis that the application was for a "fresh claim" seeking a new DIFC Order against the Respondents that mirrored existing orders from the Foreign Courts.

51. In order to succeed as a fresh claim, the application had to pass through a jurisdictional gateway. These had previously been found iIn Article 5(A) of Dubai Law No 12 of 2004 and required that a claim must involve a party or event in the DIFC or that the parties had consented to the jurisdiction of the DIFC. These gateways did not apply as the Appellants were foreign parties seeking an order against assets that had not been shown to be within the DIFC or part of any DIFC entity. Moreover, the Respondents resided outside the DIFC.

52. Jurisdictional gateways in the New Court Law at Article 14, were said to be relevant for new claims initiated in the DIFC Courts. Exclusive jurisdiction was given to those courts in the event that the claim involved a DIFC entity, contract, incident, transaction, arbitral claim, or enforcement of an arbitral award or claims under an international treaty or convention to which the UAE had acceded. This was said to be similar to Article 5(A) of the old law but not identical.

53. On the fresh claims scenario, the order sought from the DIFC Courts was in addition to orders obtained by the Foreign Courts not a straight enforcement of those orders. Article 14(A)(7) did not apply as no international treaty or convention had been engaged. Moreover, the gateways of Articles 14(1) to (6) did not apply as it was explicitly repeatedly stated that a direct link to the DIFC whether through a DIFC contract, DIFC body or establishment or by consent or otherwise, had to be established. The Respondents were located outside the DIFC and no direct asset link had been made to the DIFC for the purposes of the relief sought. The jurisdictional gateways opened by Article 14 had not been passed through. As a fresh claim, the application failed for lack of jurisdiction as the Appellants had failed to satisfy any of the gateways in Article 14.

54. His Excellency then considered the application on the assumption that it sought enforcement of existing orders from the Foreign Court. In that case Article 31 of the New Law was said to be engaged.

55. He referred to comparisons made at the hearing between the previous statute on jurisdiction and the New Law and reference to the decision of this Court in Carmon. He referred to Article 5(A) of the previous Law, along with Article 7(6) and Article 24. He compared these with Article 31(2) and (4) of the New Law. Counsel had submitted to him that the New Law expressly granted the DIFC Courts jurisdiction to enforce foreign judgments and to hear applications for interim or precautionary measures and that it was improbable that the DIFC Courts' powers were now limited to assets inside the DIFC.

56. In His Excellency's judgment, Article 31(2) of the New Law did not apply to the application in the way that the old law would have. The phrase "in the event that the enforcement shall fall into any of the DIFC bodies, DIFC establishments, licensed DIFC establishment, or any other entity within the DIFC" was said to create a requirement of a direct link between the foreign judgment and the DIFC in order for the DIFC Courts to have jurisdiction to enforce it. The Respondents did not have any direct

link to any entity within the DIFC, nor did the relief sought. Nor did the Foreign Orders list any asset or financial accounts that might be found within the DIFC. For the foreign judgment to be enforced it was said it must be against an entity within the DIFC.

57. His Excellency said:

> "26. Article 31 of the New Law introduces a new administration of enforcement that requires an asset or something akin to an asset to exist within the DIFC at the time of enforcement. This is distinct from the old law on enforcement that allows for the DIFC to be used as a conduit jurisdiction. Case law based on the old law should therefore not be applied to this case or any new enforcement regime.
>
> 27. Articles 14 and 31 of the New Law plainly require a direct link to the DIFC to be established for the Court to hear a fresh claim or enforce a foreign judgment. Whether this application seeks a new order or enforcement of the existing WFO/Chabra Order the DIFC Court does not have jurisdiction to grant relief as there is no direct link to the DIFC to do so."

The grant of permission to appeal

58. The Appellants filed an Appeal Notice on 18 April 2025 seeking permission from His Excellency to appeal his Order of 17 April 2025. On 21 April 2025, His Excellency made the following orders:

> "1. The Permission Application is granted on the ground that the Claimants have demonstrated that there is a compelling reason as to why the appeal should be heard.
>
> 2. The costs of the Permission Application shall be costs in the appeal."

59. There were two grounds of appeal advanced. The first was that His Excellency had erred in finding that the DIFC CFI lacked jurisdiction. The second was that the existence of jurisdiction was reasonably arguable. His Excellency referred to RDC 44.19 governing applications for permission to appeal.

60. It is not necessary to canvass His Excellency's reasons in detail, save to observe that he concluded that a compelling issue had been raised regarding the correct interpretation of the New Law, its application to the enforcement of foreign orders and the institution of "fresh claims" based on foreign orders where there may not be a direct link to the DIFC. His Excellency observed that:

> "15… Under the old law, the decision is clear; the ex parte application would have succeeded as it met the general requirements for the orders sought, as expressed at paragraph 10 of the Order, and jurisdiction would have been assumed pursuant to the JAL. Under the New Law, the jurisdiction of the DIFC Courts to do so remains unclear. Hence, a compelling public policy reason is raised to send the issue to the Court of Appeal for determination."

61. His Excellency agreed that the issue should be dealt with urgently because of the risk of asset dissipation in the event that the Court was competent to grant the orders sought. He also agreed that the matter should be kept private for the same reasons.

The Appellants' submissions on the question of jurisdiction

62. On the question whether the DIFC Court had jurisdiction to entertain the application for an ex parte freezing order against the Respondents, the Appellants submitted that the primary judge erred in:

(1) Not considering Article 15(4) of the New Court Law.

(2) Misapplying Article 31(4) of the New Court Law.

(3) Failing to consider the relevant elements of Article 14(7) of the New Court Law.

63. His Excellency was said to have erred in finding that the enforcement of foreign judgments in the DIFC Court required "an asset, or something akin to an asset, to exist within the DIFC at the time of enforcement." The Appellants submitted that it was important to interpret the New Court Law by reference to the context set by the pre-existing law. They advanced two reasons for that approach:

(1) The leading authorities under the former laws provided support for the Appellants' interpretation of the New Court Law. The policy considerations remain the same and in material respects the language of the legislation was said to be unchanged.

(2) The decision of the primary judge would mark a very significant sea change in the jurisdiction of the DIFC Courts and a dramatic limitation of the Courts' powers. It would unwind developments in DIFC Law and, in particular, the scope of the DIFC Courts' power to grant injunctive relief, which the Court of Appeal has determined is the power overwhelmingly supported by public policy.

64. The Appellants then referred to the previous position in which the DIFC Courts' jurisdiction to enforce foreign judgments was founded on:

"21.1 The combination of Article 5(A)(1)(e) of Dubai Law No 12 of 2004 (the "**JAL**") and Article 24 of the DIFC Law No 10 of 2004 (the **"DIFC Court Law 2004"**) and/or

21.2.1 Article 7(6) of the JAL."

DNB Bank ASA v Gulf Eyadah Corporation & Anor [2015] CA-007 (25 February 2016) was cited in which this Court confirmed that enforcement of foreign judgments under those provisions did not require the presence of assets in the DIFC. That conclusion was endorsed by the Court of Appeal in *Sandra Holding Ltd v Al Saleh* [2023] CA-003 (18 October 2023). The Court's power to grant injunctions including freezing orders was found in Articles 22 and 32 of the DIFC Court Law 2004.

65. The Appellants also cited the Court's recent decision in Carmon and the finding at [202] that the DIFC Court:

"Has power to grant interim remedies under Part 25 of the RDC including freezing orders which extend to freezing orders restraining a party from dealing with any assets whether located within the jurisdiction or not - RDC 25.1(6). Further, the Court may grant such a remedy whether or not there has been a claim for a final remedy of that kind - RDC 25.3. Those powers are available to prevent the Court's jurisdiction being thwarted. That includes its jurisdiction to recognise and

enforce foreign judgments. That jurisdiction may be thwarted if a party to a foreign proceeding seeks to dissipate its assets in advance of an apprehended judgment which might be susceptible to recognition and enforcement in the DIFC."

66. The Appellants referred to the entry into force of the New Court Law on 14 March 2025, replacing both the JAL and the DIFC Court Law 2004. They set out the relevant provisions of the New Court Law and specifically Article 14(A)(7), Article 15(4), Article 31(4).

67. As to the New Court Law, the Appellants submitted that it expressly grants the CFI Court jurisdiction to hear applications for interim or precautionary measures relating to claims that fall within the jurisdiction of the DIFC Court. Under the New Court Law the Court also has the power to:

(1) Hear and determine any application for injunctive relief - Article 19(B)(3).

(2) Issue any interim orders it considers just or appropriate - Article 24(C).

(3) Make orders as to the conduct of any proceedings before the Court that it considers appropriate, including injunctions, interim or interlocutory orders, orders made without notice to the other party and orders made for the proper administration of justice - Article 24(D).

68. The RDC remain in the same form as before the enactment of the New Court Law. RDC 25.2(4) envisages that a party may apply for an interim remedy in relation to proceedings taking place or which will take place outside the DIFC. RDC 25.1 and 25.4 grant the Court the power to order an interim remedy including interim injunctions.

69. The Appellants pointed to the significance of the words "within the DIFC" in Article 14(4) of the New Court Law and "inside the DIFC" in Article 31(4) of the New Court Law. The same words appeared in Article 7(6) of the JAL which was interpreted as permitting enforcement of foreign judgments generally. In that connection reference was made to *DNB Bank ASA v (1) Gulf Eyadah Corporation (2) Gulf Navigation Holdings Pjsc* [2015] DIFC CA 007. This Court there held that the enforcement of foreign court judgments within the DIFC under the JAL or the DIFC Court Law 2004 and the RDC would be allowed whether or not there were assets within the DIFC. The presence of such assets was not a precondition set out in Article 24(1) of the DIFC Court Law or Article 7(6) of the JAL or Article 42 of the DIFC Arbitration Law. So, it was submitted, there was no special status conferred on the words "within the DIFC". The Court of Appeal itself used that phrase in its reasoning finding at [97] that:

"Clearly, Articles 7(4) to 7(6) of the JAL and Article 24(1)(a) of the DIFC Court Law are enactments which provide for foreign court decisions to be enforced within the DIFC."

70. The Appellants cited policy reasons for conferring jurisdiction on the DIFC Courts to grant freezing orders extending outside the DIFC and said they remained unchanged. The Court must be empowered to make orders inside the DIFC which impose obligations on parties outside the DIFC

including by granting injunctions. The Court was not being asked to make in rem orders over assets outside the DIFC. The orders sought would be a precautionary measure sought "within the DIFC" for the purposes of Article 15(4).

71. The Appellants argued in the alternative that the judgment in the Foreign Proceedings would be enforceable within the DIFC in future regardless of whether there were assets susceptible to enforcement within the DIFC. All of the reasoning in Carmon were said to apply.

72. The relief sought against the First and Second Respondents respectively was said to be within the power of the DIFC Court pursuant to the provisions of the New Court Law Articles 19(B)(3), 24(C) and 24(D). It was said to be within the Court's jurisdiction as constituting interim relief in support of foreign proceedings by reference to Article 15(4) and/or relief sought ancillary to the Court's jurisdiction to enforce foreign judgments under Article 31(4) of the New Court Law applying the reasoning in Carmon.

73. Specifically with reference to the Second Respondent, the Appellants argued that the Court has "necessary and proper party" jurisdiction. That gateway was said to be at least arguably preserved by Article 14(A)(7) of the New Court Law.

74. In responding to the reasons given by His Excellency at first instance, the Appellants argued that there was no requirement in Article 15 that an additional basis for jurisdiction would need to be established under Article 14 of the New Court Law for the DIFC Courts to have jurisdiction to grant interim relief in support of foreign proceedings. If that were correct Article 15 would contain obsolete provisions, presumably not the intention of the draftsperson. On His Excellency's analysis to obtain interim relief, it would be a prerequisite in all cases for an applicant to establish jurisdiction in the manner stipulated in Article 15(1). That was said to be wrong for two reasons:

(1) The subparagraphs in Article 15 provide distinct bases for jurisdiction and anticipate different kinds of interim relief that might be obtained. It was not a requirement that an applicant satisfy one of the bases for jurisdiction in Article 15(2) to (4) as well as the basis for jurisdiction in Article 15(1).

(2) By contrast with the basis for jurisdiction in subparagraph (4), the bases for jurisdiction in subparagraphs (2) and (3) restricted the relevant interim relief to underlying claims that "may be brought before the DIFC Courts" or that "fall within the jurisdiction of the DIFC Courts". Thus subparagraph (4) was said to omit any reference to the underlying claims being the subject of the DIFC Courts' jurisdiction. That was said to be deliberate.

75. As to Article 14(A)(7), the Appellants contended that their alternative case in reliance upon that Article was not premised on the engagement of an international treaty or convention. Rather it was based upon that limb of the provision that referred to jurisdiction over "claims and applications over which the DIFC Courts have jurisdiction under the DIFC Laws, DIFC Regulations, and the legislation

in force in the Emirate". The RDC were DIFC Regulations within the definition under the New Court Law. The Court of Appeal had already established in *Nest Investment Holding Lebanon SAL & Ors v Deloitte & Touche (ME)* [2018] CA 011 that RDC 20.7(2) was capable of conferring jurisdiction.

76. The Appellants also made submissions on their alternative potential claim for jurisdiction on the basis that the orders sought were by way of enforcement of the ForeignOrders. Having regard to this Court's view of that matter, it is not necessary to further consider that argument.

Consideration and Conclusion

77. As the appeal was heard ex parte, this Court should not, in the absence of a contradictor make a final decision on the question of jurisdiction in this case the question raised by the first ground of appeal. It is sufficient to say that the existence of the jurisdiction and the powers to grant the interim orders made in the case is strongly arguable. It would be surprising if the New Court Law had the effect of contracting the jurisdiction and powers of the Court in this respect. The appeal was therefore allowed on the second ground namely that the Primary Judge ought to have held that there was a sufficiently arguable case for jurisdiction and power to warrant the grant of the orders sought. The appeal was otherwise adjourned, as to the first ground, to allow the Respondents, if they so wish, to pursue the question of jurisdiction in this Court. In the meantime, the Court has made an order reflecting the Ex Parte Freezing Order sought by the Appellants. The Freezing Order was made in the exercise of the power of this Court to substitute that order for the dismissal of the application for interim relief in the CFI.

78. The costs of the appeal to this Court shall be reserved.

Issued by:

Delvin Sumo

Assistant Registrar

Date of Issue: 13 June 2025

At: 9am